

S&P GLOBAL INC. (NYSE: SPGI)

The Benchmark Compounder at a Spin-Off Discount

Equity Research Note · Financial Services — Financial Data & Exchanges · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$341	\$386.27 Oct 2, 2026	-11.7%	Medium Beta 1.08

Snapshot			
Market cap	~\$113.9 bn	Shares outstanding	~295 mn
Enterprise value	~\$126.4 bn	52-week range	\$361.03 – \$522.47
Net debt	~\$12.5 bn (~1.5x EBITDA)	YTD / 1-yr return	–21.8% / –15.2%
2026E adj. EPS (guidance)	\$17.50 – \$17.75	Forward P/E	~21.9x (vs Moody's 23.8x)
Q2'26 revenue	\$4.15 bn (+10%)	Q2'26 adj. op margin	54.3% (+200 bps)
Next catalyst	Q3'26 earnings, Oct 27	Analyst consensus	Moderate Buy; avg PT ~\$523

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from S&P Global's SEC filings and earnings releases, its public product materials, and reputable financial press as of October 1, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

S&P Global is the toll collector on global capital markets: it rates the debt, indexes the equity, and prices the energy that flows through the financial system. The financial profile is fortress-grade — **50% adjusted operating margins, ~36% free-cash-flow margins, ~two-thirds recurring revenue** — and the July 2026 spin-off of Mobility has left a cleaner, four-division benchmark franchise. The business is superb. The price is the problem: at **\$386.27 the stock trades at ~22x forward earnings**, against record issuance volumes, and the old spin-off discount to Moody's has largely repriced away.

Our hardened reverse-DCF shows the market now prices **~8% annual free-cash-flow growth for ten years** — between our base case (5.9% revenue CAGR, normalized 38.5% FCF margins) and our bull case (8.9%) — at the **cyclical peak of debt issuance**. The prior note read a priced-in 5–6% growth rate as opportunity; the hardened model reads 8% at record volumes as the market already paying for the good outcome. The base case alone (\$321) sits ~17% below the quote.

We set our **\$341 target** at the hardened probability-weighted DCF (25/50/25) — **REDUCE, Medium risk**. The old bear was a mild slowdown (\$278); the rebuilt bear is a real credit freeze — issuance collapses, margins compress 800 bp, the terminal derates 44% — and lands at **\$118**, ~69% below the price. The Street's ~\$523 consensus implies ~26x 2027E earnings, a full issuance boom we will not underwrite. Below ~\$340 the valuation starts to work again; here, we would be sellers of strength, not buyers of the dip.

Why own it

Four regulated or entrenched franchises, one company. An NRSRO ratings oligopoly (65% margins), the S&P 500 index franchise (71% margins, ~\$3.8T ETF AUM), Platts commodity benchmarks (48% margins), and Capital IQ data workflows — roughly two-thirds of revenue is benchmark-linked and drives over 80% of operating profit.

Margin expansion with receipts. Adjusted operating margin has expanded every year since the IHS Markit merger — 40% to 50% — reaching 54.3% in Q2 2026, as \$600M+ of merger synergies landed and high-incremental-margin benchmark revenue did the rest.

A cash machine returning it all. ~\$5.5B of annual free cash flow funds a >\$7B buyback (2026) plus a growing dividend — per-share compounding of ~5–7% a year on top of earnings growth.

The spin-off discount has largely closed. The Mobility separation (July 2026) did create a transient mispricing; the remaining gap to Moody's — now only ~8% on forward earnings — reflects issuance cyclicity, which we think is fair, not an inefficiency.

AI is a tailwind, not a threat — so far. 500+ customers on LLM-ready APIs (+70% sequentially, 5x API call volume) shows proprietary, auditable data becoming *more* valuable as AI workflows need trusted ground truth. Undisclosed as a revenue line — watch for disclosure.

Why the market is nervous — and what we watch

Ratings cyclicity — the central risk, not a footnote. ~35% of pro-forma revenue rides the debt-issuance cycle at 65% margins; a rate shock or credit freeze hits the profit engine directly, and our rebuilt bear case prices exactly that. Record issuance is when cyclicals look cheapest.

The market already underwrites near-bull growth. ~8% priced-in ten-year FCFF growth sits between our base and bull cases — there is no pessimism left to correct, only execution risk.

Leverage is rising for the buyback. Gross leverage heading to 2.7–2.8x EBITDA by year-end on ~\$2B of new debt — fine if issuance holds, uncomfortable if it doesn't.

The Moody's discount may be structural. Moody's Analytics is growing faster than SPGI's Market Intelligence; if MI's 5.5–7% guide disappoints again, the multiple gap persists.

GenAI disintermediation. LLMs could compress research headcount and seat licenses — the Kensho API strategy is the defense, but it is early and undisclosed as a revenue line.

2 Business Overview — What the Company Is Doing

S&P Global (founded 1860 as a publisher of railroad credit information; New York HQ) provides benchmarks, data, analytics, and workflow solutions across capital, commodity, and automotive markets. The **\$44B all-stock acquisition of IHS Markit (closed February 2022)** — the largest deal in company history — doubled its data footprint. Antitrust remedies carved out OPIS, Coal/Metals & Mining and PetroChem Wire (\$1.15B to News Corp), Base Chemicals (\$295M to News Corp), CUSIP Global Services (\$1.925B to FactSet), and Leveraged Commentary & Data (to Morningstar); Engineering Solutions followed to KKR for \$975M in 2023. On **July 1, 2026, the Mobility division was spun off as Mobility Global**, leaving a focused four-division company. CEO **Martina Cheung** (in office since November 2024, 14-year insider and architect of the IHS Markit deal) is running an “AI-first” strategy.

FY2025 segment economics (adjusted operating profit; Mobility shown for reference)

Division	Revenue (\$M)	Adj. op. profit (\$M)	Adj. margin	What it sells
Ratings	4,724	3,079	65.2%	Credit ratings on corporate, sovereign, structured debt; surveillance & entity ratings
Market Intelligence	4,916	1,671	34.0%	Capital IQ Pro, data feeds, Kensho AI, private-markets & ESG data (83% subscription)
Energy (fmr. Commodity Insights)	2,299	1,093	47.5%	Platts price assessments, CERA advisory, events incl. CERAWEEK
Indices (S&P DJI)	1,850	1,313	71.0%	S&P 500 licensing, ETF asset-linked fees, derivatives royalties
Mobility (spun 7/1/26)	1,747	697	39.9%	Automotive data & analytics — now Mobility Global
Pro forma (ex-Mobility)	13,589	6,964	51.2%	

Note: GAAP segment margins read lower (MI ~20%) because ~\$630M/yr of IHS Markit intangible amortization sits in Market Intelligence — an accounting artifact, not an economic one. The adjusted figures above reflect the cash economics.

What the company is doing right now

Harvesting the issuance cycle. Stabilizing rates pulled forward refinancing; Ratings posted a record **\$1.34B** quarter (+17%) and guidance was raised to 5–8% organic growth.

Riding the passive flywheel. ~\$3.84T of ETF AUM linked to S&P DJI indices (end-2025) — every market rally is high-margin annuity; the Cboe SPX-options license was renewed 25 years through 2051.

Turning around Market Intelligence. New leadership and a revamped operating model aim to lift organic growth (guided 5.5–7%) toward peer levels; Q1 printed +8%.

Pushing into AI infrastructure intelligence. The datacenterHawk acquisition (closed Sept 2026) folds 451 Research-style data-center data into Energy — selling picks-and-shovels data to the AI buildout.

Bolt-on M&A and divestitures. Augusto & Co (Nigeria) extends the Ratings footprint in Africa; Kaiko investment + S&P Kaiko Digital Asset Indices and an OpenZeppelin agreement open the digital-asset front; upstream energy software was divested to SLB.

Returning capital at pace. >\$7B of 2026 buybacks (~\$1.5B done by late July), \$3.88/yr dividend, and a stated path for leverage back down in 2027.

3 Product Evaluation & Pricing Models

S&P Global monetizes on four complementary axes — **transaction tolls, asset-linked annuities, subscription SaaS, and benchmark licensing** — all sharing one trait: pricing scales with the customer's activity or assets, so

revenue compounds without headcount.

Product	Pricing model	How it monetizes	Assessment
S&P Global Ratings new-issue ratings	Transaction bps on issuance	Fees scale with deal size and complexity; ~40% of Ratings revenue. Surveillance, entity ratings and annual relationship programs supply the recurring ~60%.	The toll on debt capital markets. Cyclical but irreplaceable — 65% margins and the highest incremental economics in the portfolio.
S&P DJI indices S&P 500 franchise	Asset-linked bps + royalties	~\$1.21B in asset-linked fees on ~\$3.84T ETF AUM; exchange-traded derivative royalties (CME/Cboe); data subscriptions. JV: 73% SPGI / 27% CME.	The purest annuity in financial data — 71% margins, 13 straight record quarters. Fee pressure is the slow risk; asset growth is the offset.
Capital IQ Pro + data feeds	SaaS subscription per-seat / enterprise	Desktop + feeds + valuation services; ~83% subscription revenue. Enterprise term licenses and credit-risk solutions sold through the Ratings channel.	Solid but the laggard: 34% adj. margins, 5.5–7% growth guide trails peers. The turnaround is the key operating question.
Kensho / LLM-ready APIs	API / usage-based (emerging)	Deterministic + Adaptive Retrieval via the AI Data Portal and MCP servers; 500+ customers, +70% QoQ, 5x API call volume. AWS and Google Cloud distribution.	The AI answer: embed SPGI data inside client AI stacks. Early, undisclosed as a revenue line — watch for disclosure.
Platts assessments	Subscription + usage-based	Price assessments (Dated Brent, LNG, metals) written into physical contracts; Market-on-Close methodology; IOSCO-compliant. CERA advisory and CERAWEEK on top.	Contractual entrenchment is the moat — assessments are the settlement currency of physical energy. 48% margins.

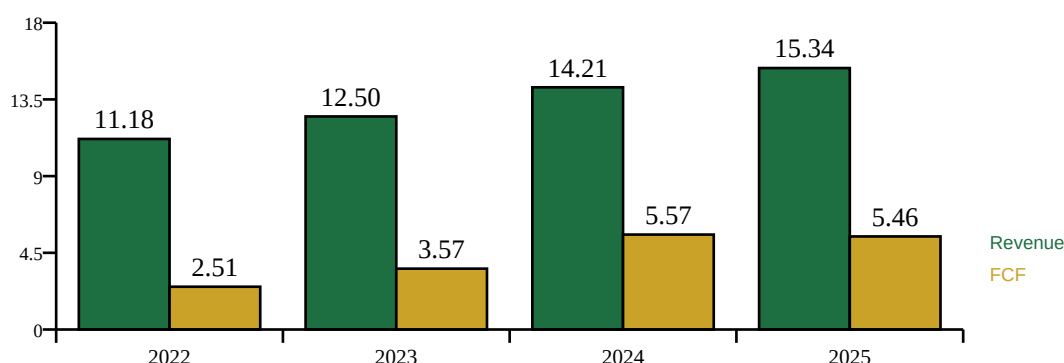
Net assessment: the pricing architecture is **activity-linked by construction** — issuance volumes, asset prices, and data consumption all scale revenue without scaling cost. The vulnerability is symmetric: a capital-markets freeze hits Ratings, Indices, and Energy simultaneously, which is why ~two-thirds recurring/subscription revenue is the ballast that justifies the multiple.

4 Financial Analysis

The post-merger trajectory is one of compounding scale and expanding margins. Revenue has grown every year since the IHS Markit close; adjusted operating margin expanded from ~40% to 50%; free-cash-flow margins sit in the mid-30s — software-like economics at industrial scale. (2022 GAAP net income was flattered by divestiture gains; adjusted metrics tell the cleaner story.)

\$ bn	2022	2023	2024	2025	TTM (Q3'25–Q2'26)
Revenue	11.18	12.50	14.21	15.34	16.13
YoY growth	—	+11.8%	+13.7%	+7.9%	+10.4%
Operating income (GAAP)	3.02	4.05	5.48	6.18	6.70
Operating margin	27.0%	32.4%	38.6%	40.3%	41.5%
Normalized EBITDA	4.07	5.23	6.72	7.41	7.93
EBITDA margin	36.4%	41.8%	47.3%	48.3%	49.2%
Free cash flow	2.51	3.57	5.57	5.46	—
FCF margin	22.4%	28.5%	39.2%	35.6%	—
Diluted EPS (GAAP)	\$10.20	\$8.23	\$12.35	\$14.66	—

Revenue and free cash flow (\$ bn)



Margins: the benchmark mix does the work

GAAP operating margins rose from 27% to 40%+ in three years; on an adjusted basis (excluding ~\$1.2B of annual merger amortization) the company operates at 50–54%. The mix is the margin story: Ratings (65%), Indices (71%), and Energy (48%) carry the portfolio while MI's heavy amortization masks its 34% cash margin. Q2 2026's 54.3% adjusted operating margin (+200 bps) shows the operating leverage still has room — benchmark revenue carries ~70%+ incremental margins.

Balance sheet and capital return

Net debt of ~\$11.6B (~1.4x TTM EBITDA) is comfortable for this cash profile; the IHS Markit-era leverage is digested (Moody's rates SPGI senior unsecured A3). The 2026 plan is more aggressive: ~\$2B of new debt to fund a **>\$7B buyback**, lifting gross leverage to 2.7–2.8x EBITDA by year-end, then declining in 2027. The track record supports the aggression — a \$12B accelerated buyback in 2022 (funded by merger divestitures) plus ~\$3.3B a year since — but it converts balance-sheet optionality into a bet that issuance volumes hold. The \$3.88 annual dividend (~1% yield, ~22% payout) grows steadily alongside.

Guidance (July 2026, post-spin): organic constant-currency revenue growth of 6.0–8.0% (5.9–7.9% reported), adjusted operating margin expansion of 75–100 bps, adjusted EPS of **\$17.50–\$17.75 (+10–12%)**, GAAP EPS \$16.35–\$16.60, and H2 adjusted free cash flow of \$2.9–\$3.1B. Division organic guides: Ratings 5–8% (raised), Indices 12–14% (raised), Energy 4.5–6%, MI 5.5–7%.

5 Moat & Growth Drivers

The moat

Regulatory franchise. NRSRO status (written into US law in 2007) makes S&P ratings effectively mandatory plumbing for institutional debt markets; the Big Three control ~95% of the global ratings market, S&P roughly half in Europe.

Benchmark incumbency. The S&P 500 is the default US equity benchmark for performance measurement, hedging, and ETF construction — displacement would require the entire asset-management industry to re-paper. The S&P DJI / MSCI duopoly has no credible third challenger.

Contractual entrenchment. Platts assessments (Dated Brent and peers) are written into physical commodity contracts as the settlement basis; IOSCO benchmark-regulation compliance is a barrier few can clear.

Workflow embedding + data network effects. Capital IQ sits inside credit analysts' daily workflow; every Platts Market-on-Close participant makes the assessment more representative, attracting the next participant.

Scale economics. 50%+ operating margins with ~70%+ incremental margins on benchmark revenue — the classic information-business cost structure: build once, sell infinitely.

Honest limits: the moat is **cyclical, not absolute**. Ratings volumes collapse in a credit freeze; passive fee compression and self-indexing by mega-managers slowly pressure index pricing; and GenAI could compress the research headcount that buys seat licenses. The defense — embedding proprietary data into client AI stacks via Kensho APIs — is directionally right but unproven at scale.

Growth drivers, ranked

1. The debt-issuance cycle — a multi-year corporate maturity wall plus stabilizing rates; the highest-margin lever in the portfolio.
2. The passive/AUM flywheel — ETF inflows and market appreciation convert directly into asset-linked fees at ~70% margins.
3. The MI turnaround — closing the growth gap to peers (FactSet, MSCI) under new leadership; operating leverage is significant if it lands.
4. AI-data monetization — LLM-ready APIs and the datacenterHawk push turn proprietary data into AI-era products.
5. The buyback — ~5–6% annual per-share compounding at the 2026 pace.

6 Competition

S&P Global's portfolio has no single-company mirror — competitors attack it division by division, which is itself a structural advantage: no rival replicates the full benchmark stack.

Competitor	Arena	Assessment
Moody's (MCO) \$78 bn mkt cap	Ratings + Analytics	The direct comp and the valuation benchmark: ~24x forward P/E, 21.0x EV/EBITDA vs SPGI's ~22x / 15.5x. More transaction-heavy and less diversified (Ratings is mid-80s% of op income), so more cyclical — yet it commands the premium. The old thesis was that the gap would close; the hardened view is that the remaining gap is earned cyclicity.
Fitch Ratings (Hearst-owned)	Credit ratings	Distant #3 (~12% share); competes on price and niche coverage. Private ownership means no public-market discipline to exploit.
MSCI \$39.5 bn mkt cap	Indices + ESG/analytics	S&P DJI's benchmark rival (24.2x fwd P/E, 23.1x EV/EBITDA, 59% EBITDA margins). Indexing is a stable duopoly; the fight is over new asset classes (private markets, digital assets).
FactSet / Bloomberg / LSEG	Market Intelligence	Capital IQ Pro's terminal rivals. FactSet (14.4x fwd P/E) even bought CUSIP from SPGI. Bloomberg's terminal entrenchment is the hardest moat in the group to dislodge.
ICE	Indices + commodities data	Fixed-income indices and commodities data overlap; ICE's exchange ownership gives it distribution SPGI must partner for (CME/Cboe).

Head-to-head multiples (Oct 1–2, 2026)

	SPGI	Moody's	MSCI	FactSet
Price	\$386.27	\$450.25	\$543.40	\$283.39
Forward P/E	21.9x	23.8x	24.2x	14.4x
EV / EBITDA	15.5x	21.0x	23.1x	12.3x
EV / revenue	7.8x	10.4x	13.6x	4.4x
EBITDA margin	50.5%	49.7%	58.9%	35.6%
FCF yield (TTM)	4.8%	3.3%	3.0%	5.5%

	SPGI	Moody's	MSCI	FactSet
Revenue growth (TTM)	+10.4%	+15.1%	+12.2%	+6.3%
Dividend yield	1.00%	0.91%	1.52%	1.72%

The table is the thesis in numbers — and the thesis has changed. SPGI matches Moody's on margins and FCF yield, but the old ~20% earnings discount has closed to ~8% (21.9x vs 23.8x). What remains is issuance cyclicality at a cyclical peak, which we think the market is underpricing, not overpricing.

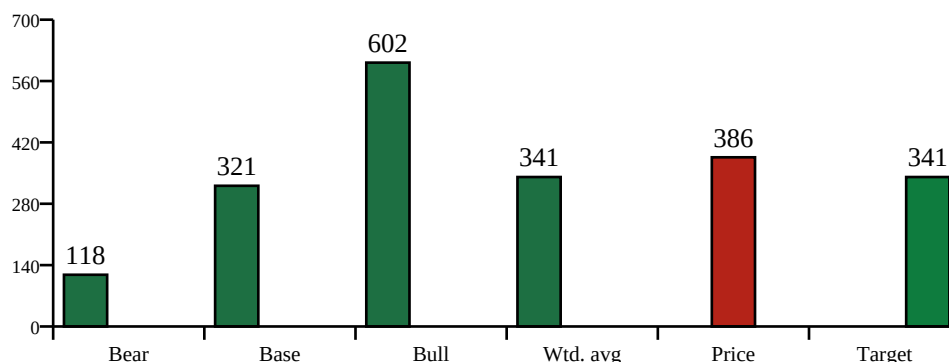
7 Valuation — Four Lenses

Lens 1 — Scenario DCF (10-year explicit, pro forma ex-Mobility)

Ten-year explicit forecast off 2026E unlevered free cash flow of ~\$5.85B (margin 40.3%), then terminal growth ≤2.5% on year-10 free cash flow at **normalized mid-cycle margins** — never peak. Scenario-specific discounts replace the old flat WACC: 12% bear / 9.5% base / 8% bull. Net debt \$12.5B; 294.8M shares. Debt-funded buybacks are assumed value-neutral per share.

Scenario	10-yr rev CAGR	Term. FCF margin	Discount / term g	Fair value
Bear — real credit freeze; issuance collapses; 800 bp margin compression; 44% terminal derating	2.3%	33.0%	12.0% / 1.25%	\$118
Base — 5.9% compounding; FCF margins normalize to 38.5% off the 40.3% peak	5.9%	38.5%	9.5% / 2.25%	\$321
Bull — issuance boom + AI licensing wins at cycle-high margins	8.9%	42.0%	8.0% / 2.50%	\$602
Probability-weighted (25 / 50 / 25)				\$341

Scenario fair values vs. current price and target (\$)



Lens 2 — Reverse DCF: what is priced in?

At \$386, the market implies **~8.0% annual free-cash-flow growth for ten years** (9.5% discount, 2.25% terminal) — between our base (5.9% revenue CAGR) and bull (8.9%) cases, and against **record issuance volumes**. The prior note's 4.8–6.9% read — the 'growth collapse with no precedent' — is gone: the market now underwrites near-bull execution with no allowance for the cycle turning. Either issuance stays at record levels for a decade, or the pessimism lives in our \$118 bear case, which we weight at 25%.

Lens 3 — Sum-of-the-parts and multiples

SOTP on 2027E adjusted divisional operating profit: Ratings \$3.50B × 18x = \$63.0B; Indices \$1.70B × 22x = \$37.4B; MI \$1.90B × 14x = \$26.6B; Energy \$1.30B × 13x = \$16.9B. Sum EV \$143.9B, less corporate drag and ~\$13B net debt → **\$452/share** on ~285M post-buyback shares — a peak-cycle lens that shows what the market

believes, not what we underwrite. **Multiples (2027E):** adj EPS \$19.75 × 20x → **\$395**, 22x → \$434, 24x → \$474; EBITDA \$8.8B × 15x → **\$418**, 16x → \$448, 17x → \$479; FCF/share \$22.17 at 5.0% yield → **\$443** (4.5% → \$493, 5.5% → \$403). To justify \$386 you need 20x earnings, 15x EBITDA, or a sub-5% FCF yield — all peak-cycle assumptions.

Lens 4 — The Street

Consensus is Moderate Buy across ~20 analysts with an **average target of ~\$523** (range ~\$485–\$560; JPMorgan \$530, Barclays \$553, Baird \$513, BMO \$505, Morgan Stanley \$525) — **53% above our \$341** and 35% above the price. We sit deliberately far below: \$523 implies ~26x 2027E earnings, a full issuance boom at the cyclical peak that we will not underwrite until the credit cycle proves it. Our target embeds the discipline; theirs embeds the optimism.

Synthesis → REDUCE, \$341 target. The hardened probability-weighted DCF (\$341) sits –11.7% below the \$386.27 price. The multiple lenses (\$395–493) show exactly what the market must believe to justify the quote; at record issuance volumes we will not underwrite it. The business remains a wide-moat compounder — but cyclicals at peak volumes are when the multiple looks most reasonable and the earnings look most fragile. Below ~\$340 the valuation starts to work again.

8 Risks, Catalysts & Recommendation

Key risks

Issuance cyclicalities. Ratings is ~35% of pro-forma revenue at 65% margins; a rate shock or credit freeze hits the profit engine directly, and Indices/Energy correlate in a downturn.

Leverage for buybacks. 2.7–2.8x gross leverage by year-end on ~\$2B of new debt is manageable — unless issuance softens into it. The 2027 deleveraging path must be watched.

MI execution. Market Intelligence's 5.5–7% guide still trails FactSet/MSCI; another year of share loss would cement the Moody's discount rather than close it.

GenAI disintermediation. LLMs could compress research headcount and seat licenses; the Kensho API defense is early and undisclosed as a revenue line.

Index-fee pressure. Zero-fee passive trends and self-indexing by mega-managers cap pricing power over time; asset growth and the 2051 Cboe lock are the offsets.

Regulatory. NRSRO scrutiny, EU oversight, and benchmark regulation are the permanent tax on the moat — low probability, high impact.

Concentration. Post-spin, benchmarks are ~65% of revenue and >80% of operating profit: superb quality, correlated exposure.

Catalysts

Q3 earnings (October 27, 2026): the first clean post-spin comp — continued records in Ratings/Indices would force the discount question.

MI turnaround evidence: organic growth printing at or above the 5.5–7% guide with margin expansion.

Buyback execution: >\$7B of repurchases mechanically accretes ~5–6% per share through 2026.

AI disclosure: any quantification of LLM-API revenue turns the AI debate from narrative to numbers.

Issuance volumes: the maturity wall refinancing through 2027 is the fundamental tailwind.

What changes the call

Two soft quarters in Ratings with issuance rolling over — then the bear case (\$118) is confirmed rather than feared, and \$341 proves optimistic: we would move to SELL. Conversely, clean Q3 execution plus quantified AI revenue would argue the bull case deserves more weight; sustained 8%+ organic growth with margin expansion would force a base rebuild toward \$400+.

Recommendation

REDUCE, \$341 twelve-month price target (-11.7% downside), Medium risk. You are still looking at the toll collector on global capital markets — 50%+ margins, ~36% free-cash-flow margins, double-digit earnings growth, and 6%-of-market-cap annual buybacks — but at \$386 you are paying for ~8% ten-year free-cash-flow growth at the cyclical peak of debt issuance. The old discount-to-Moody's thesis has repriced away; the remaining gap reflects cyclicalality, and we think that is fair. We would be sellers of strength, not buyers of the dip. Below ~\$340 the valuation starts to work again.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, and market data as of October 4, 2026. Valuation models: `~/workspace/spgi-research/spgi_v2_hardened_model.py`.